

Part 4 – Business Insights

Provide five insights, three business risks and three opportunities.

Five Business Insights

1. Month-to-Month Contracts Drive Churn: Customers on month-to-month plans exhibit a high churn rate of 42.71%, compared to only 11.27% for one-year contracts and 2.83% for two-year contracts.
2. Fiber Optic Vulnerability: Customers utilizing Fiber Optic internet service churn at 41.89%, significantly higher than DSL users (18.96%), suggesting possible pain points regarding pricing, value perception, or service reliability.
3. Tenure is a Strong Retention Anchor: Retained customers have an average tenure of 37.6 months, whereas churned customers leave much earlier, averaging only 18.0 months. Most churn occurs during the early lifecycle phase.
4. Higher Monthly Bills Correlate with Churn: Churned customers have a higher average monthly bill (\$74.44) compared to retained customers (\$61.27), indicating that price sensitivity or perceived value mismatches trigger departures.
5. Electronic Check Friction: Payment method heavily influences retention; users paying via Electronic Check experience a high churn rate of 45.29%, compared to automated methods (Bank transfer/Credit card) which sit around 15% to 16%.

2. Three Business Risks

1. Revenue Leakage from Early-Stage Attrition: Losing customers within the first year and a half before recovering Customer Acquisition Costs (CAC) directly damages customer lifetime value (LTV) and profitability.
2. Dissatisfaction in High-Value Segments: High monthly charge tiers and Fiber Optic users represent core revenue streams, but their disproportionately high churn rates threaten enterprise cash flow.
3. Operational Bottlenecks in Billing/Payment Friction: Heavy reliance on manual or electronic check payments correlates with high churn, potentially exposing inefficiencies in the checkout or billing user experience.

3. Three Strategic Opportunities

1. Contract Migration Incentives: Design targeted promotions or loyalty discounts encouraging month-to-month subscribers to transition into annual or multi-year agreements, locking in predictable recurring revenue.
2. Fiber Optic Value Optimization: Audit the fiber optic service tier to address potential bottlenecks—such as reviewing pricing competitiveness, enhancing

customer support, or bundling value-added services (like device protection and security).

3. **Automated Payment Incentives:** Implement small financial incentives (e.g., billing discounts or loyalty points) for customers who switch from electronic checks to automated payment channels (credit card or bank transfer) to secure stickier payment behaviors.